

Profit Niti – AI Report (2025-04-01 / 2025-11-30)

Last Month KPI Data (November 2025)

 Sales 866,750 -57% Last month 2,012,136	 Gross Margin 866,750 -57% Last month 2,012,136
 Operating Profit 132,244 -94% Last month 2,332,623	 Break Even Sales 734,506 329% Last month -320,487
 Accounts Receivable 3,955,588 -28% Last month 5,512,204	 Accounts Payable 615,119 -53% Last month 1,302,419
 Working Capital 3,340,470 -21% Last month 4,209,785	 Closing Stock 0 0% Last month 0
 Bs Category 53 - SHAKY -20% Last month 66 - STEADY	 Impact Of Decisions 255,735 143% Last month -592,760

1. Big Picture — How the Business Looks Right Now

Your business has shown significant volatility over the period from April to November 2025. Total Equity and Liabilities started at ₹1.26 crore in April, dipped to ₹61.67 lakh in May, and recovered to ₹1.15 crore by November. Sales have been inconsistent, with a high of ₹20.12 lakh in October and a low of ₹4.40 lakh in June, while profitability has swung from a profit of ₹23.89 lakh in October to a loss of ₹-360,469 in September. The company maintains a strong equity base, with Total Equity at ₹1.05 crore in November, up from ₹1.22 crore in April.

GREEN FLAG BOX — What's Working Well

- **Strong Profitability Peaks:** The business achieved a high Net Profit of ₹23.89 lakh in October with a Net Profit % of 119, demonstrating excellent margin potential.
- **Healthy Equity Growth:** Reserve & Surplus grew from ₹45.75 lakh in April to ₹90.82 lakh in November, strengthening the company's financial backbone.
- **Robust Liquidity Position:** The Current Ratio remains healthy, reaching 12 in November, indicating strong short-term financial stability.

RED FLAG BOX — What Needs Attention

- **Extreme Revenue Volatility:** Sales dropped 58% in June and 57% in November, with Revenue Growth showing wild swings from 228% in October to -58% in June.
- **Inconsistent Operational Profit:** Operating Profit turned negative at ₹-440,013 in September, and Overheads % spiked to 172% the same month, indicating poor cost control.
- **Poor Cash Flow from Operations:** Cash flows from Operating Activity were negative in five out of eight months, including a significant outflow of ₹-2,504,430 in October.

Strategic Advice:

Prioritise stabilising your sales pipeline to reduce extreme monthly revenue fluctuations. Implement stricter controls on overheads, particularly employee and administrative expenses, which showed high volatility. Focus on improving debtor collections to convert your strong sales months into consistent positive operating cash flow.

2. Profit Power — The Earning Engine

Your sales revenue shows significant volatility, from a high of ₹20.12 lakh in October to a low of ₹4.40 lakh

in June. The Net Profit % has fluctuated dramatically, reaching a peak of 119% in October but also dipping to a loss of -59% in September.

Operating Profit % followed a similar pattern, from 116% in October down to -72% in September. Overheads as a percentage of sales have been unstable, with a notable negative figure of -16% in October and a high of 172% in September, largely driven by variable Employee Benefit Expenses.

Profitability is heavily reliant on Other Non Operating Income, which contributed ₹1.66 lakh in November and ₹1.40 lakh in April. The business maintains a 100% Gross Margin as COGS is consistently zero, indicating a service or project-based model within manufacturing.

Strategic Advice:

Stabilise monthly sales and control volatile overheads, particularly employee costs, to achieve consistent profitability. Develop a strategy to reduce dependency on non-operating income for bottom-line results.

3. Cash Flow Quality — Profit vs Real Cash

Your business generated a net profit of ₹7.69 lakh in April, which increased to ₹2.98 lakh by November. However, the cash flow from operating activities was negative ₹2.33 lakh in April and improved to a positive ₹8.69 lakh in November.

A major cash blockage is seen in debtor days, which increased from 64 days in April to 139 days in November. This indicates a significant delay in collecting payments from customers, tying up your working capital.

The operating cash flow margin was negative in April at -1, but improved to a positive 1 by November. This shows a recent improvement in converting profits into actual cash, though the overall conversion remains a challenge.

Strategic Advice:

Prioritize reducing your accounts receivable days from the current 139 days to improve cash flow. Implement stricter credit control and follow-up procedures to convert your growing profits into real cash more efficiently.

4. Cash Management — Daily Cash Rhythm

Your debtor collection period (Accounts Receivable Days) has increased from 64 days in April to 139 days in November, indicating a significant slowdown in cash collection. The working capital cycle is entirely driven by receivables, as Inventory Days and Accounts Payable Days are zero throughout the period.

This has resulted in a lengthening of the Working Capital Days from 64 days to 139 days. The company's cash position is volatile, with Cash and Bank Balances starting at ₹65.74 lakh in April, dropping sharply to ₹98,946 in May, and ending at ₹55.25 lakh in November.

Strategic Advice:

Prioritise aggressive debtor recovery to reduce the 139-day collection period. Implement stricter credit terms and follow-up procedures to improve cash inflow and stabilise your working capital cycle.

5. Growth Investments — Where Money Is Going

The company's investment in Fixed Assets has grown from ₹17.24 lakh in April to ₹17.82 lakh in November, indicating a steady capital expenditure. However, Non-current Investments have remained negative at ₹-3,431 since May, suggesting a divestment or impairment in this area.

The Return on Capital % has been highly volatile, starting at 89% in April, peaking at 331% in October, and ending at 21% in November. This indicates periods of very high efficiency in using capital for profit generation, followed by a significant drop.

Net Operating Assets, a key indicator of capital tied up in operations, stood at ₹56.76 lakh in April and was ₹51.30 lakh in November. The Asset Turnover ratio was 2 in April and 1 in November, showing a decrease in the efficiency of using total assets to generate sales.

Strategic Advice:

The volatile Return on Capital and declining Asset Turnover suggest capital allocation efficiency needs review. Consider re-evaluating the negative Non-current Investments. Focus on improving the consistency of capital returns by aligning investments more closely with core operational growth, especially given the high but fluctuating returns seen in October (331%) and November (21%).

6. Funding Story — How Growth Is Being Financed

Your business is primarily funded by equity, with minimal reliance on debt. Total Equity stood at ₹1.22 crore in April and ₹1.05 crore in November. Unsecured long-term borrowings were a modest ₹77,143 for most months, increasing slightly to ₹1.25 lakh from September onwards. There are no secured borrowings, indicating a low-debt, equity-heavy capital structure.

The company has a strong net cash position, with Net Debt consistently negative from ₹-6,496,630 in April to ₹-5,400,880 in November. This means your cash reserves exceed all debt. Total Debt remained very low, ranging from ₹77,143 to ₹1.25 lakh. The Debt to Equity and Debt to Capital ratios are ₹0, confirming no significant financial leverage.

Cash flow from financing activity shows significant volatility, with a large inflow of ₹1.06 crore in April followed by an outflow of ₹-5,348,755 in May. Recent months show smaller movements, like an inflow of ₹28.42 lakh in October and an outflow of ₹-71,044 in November. This pattern suggests the initial equity injection in April funded operations, with subsequent adjustments.

Strategic Advice:

Your strong equity base and negative net debt provide a solid, low-risk financial foundation. This positions you well to negotiate better credit terms with vendors if needed, though your current low debt is prudent. Consider using your robust cash position (₹55.25 lakh in November) to fund strategic investments or build a buffer for future expansion without taking on costly debt.

7. Balance Sheet Health — Financial Fitness

Your total equity has grown from ₹1.22 crore in April to ₹1.05 crore in November, showing a strengthening ownership base. The Reserve & Surplus increased significantly from ₹45.75 lakh to ₹90.82 lakh over the period.

Your liquidity position is strong, with the Current Ratio improving from 24 in April to 12 in November. The Quick Ratio mirrors this trend, indicating sufficient liquid assets to cover short-term obligations.

Total liabilities were reduced from ₹4.64 lakh in April to ₹9.35 lakh in November. The company maintains a very low debt level, with Total Debt at ₹1.25 lakh in the latest month and a Debt to Equity ratio of ₹0.

Strategic Advice:

Maintain the strong equity base and low debt. Consider deploying the healthy cash reserves (₹55.25 lakh in November) for strategic investments to drive growth, given the volatile monthly profits.

8. Smart AI Simulation — What-If Scenarios

Based on weak spots identified in the report, the AI simulated the following outcomes:

- **Scenario A - Profit Focus:** If the high Net Profit % of 119% from October 2025 was sustained, and the negative profit month of September 2025 (Net Profit of ₹-360,469) was avoided, annual profitability would significantly improve. However, sales volatility from ₹20.12 lakh in October to ₹8.67 lakh in November indicates a need for consistent revenue.
- **Scenario B - Cash Focus:** If the high debtor days of 203 days in June 2025 were reduced to the level of 83 days seen in October 2025, and consistent positive operating cash flow was maintained (like ₹8.69 lakh in November), the cash position would strengthen, reducing reliance on financing activities which showed outflows like ₹-71,044 in November.
- **Scenario C - Balanced:** Combining steady sales around ₹12.36 lakh (like April 2025) with controlled overheads at 2% (like May 2025) and maintaining a strong current ratio of 12 (like November 2025) would stabilize both profitability and liquidity, improving the Return on Equity from the volatile range of -55% to 280%.

9. Operational Insight Engine — Ground-Level Trends

Sales performance has been volatile, starting at ₹12.36 lakh in April and ending at ₹8.67 lakh in November. The peak was ₹20.12 lakh in October, but the trend shows a decline from the first to the last month.

Debtor collection efficiency is a key concern. Accounts Receivable Days increased from 64 days in April to 139 days in November, indicating a significant slowdown in collecting money from customers over the period.

The business operates with no inventory, as Closing Stock is ₹0 for all months. Working capital requirements are driven by receivables, with Working Capital Days also rising from 64 days to 139 days from the start to the end of the period.

10. 90-Day Action Plan

Days	Focus	Action	Target	Benefit
0-30	Cash	Aggressively collect receivables to reduce debtor days from 139 days (Nov) towards 64 days (Apr).	Increase cash balance from ₹55.25 lakh (Nov) and ensure positive monthly cash flow.	Improve liquidity and reduce reliance on external financing for operations.
31-60	Profit	Stabilise monthly net profit by controlling overheads, which spiked to 172% in Sep.	Achieve consistent monthly net profit above ₹2.98 lakh (Nov) and avoid losses.	Strengthen Reserve & Surplus, which grew from ₹45.75 lakh (Apr) to ₹90.82 lakh (Nov).
61-90	Growth	Leverage high-return months (like Oct with 280% ROE) to plan for sustainable sales growth.	Increase monthly sales stability, moving from a low of ₹4.40 lakh (Jun) towards ₹20.12 lakh (Oct).	Build on a stronger equity base (₹1.05 crore in Nov) to fund future expansion securely.